

**BEFORE THE FEDERAL MARITIME COMMISSION**

**Docket No. 24-22**

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**GITI TIRE (USA) LTD.**

**v.**

**FLEXPORT INTERNATIONAL LLC**

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**RESPONDENT’S REPLY MEMORANDUM IN FURTHER SUPPORT OF ITS MOTION**  
**TO DISMISS THE COMPLAINT**

**I. INTRODUCTION.**

On May 16, 2024, Complainant Giti Tire (USA) Ltd. (hereinafter “Giti”), filed a verified complaint (Complaint) against Respondent Flexport International LLC (hereinafter “Flexport”), asserting violations of the U.S. Shipping Act (hereinafter the “Shipping Act”), 46 U.S.C. 40101, et seq. as amended by the Ocean Shipping Reform Act of 2022 (hereinafter “OSRA”).

The Complaint combines its factual allegations and damages together in an attempted effort to vaguely claim causes of action under 46 U.S.C. § 41104(a)(15); 46 U.S.C. § 41104(a)(14); 46 U.S.C. § 41104(d) and 46 U.S.C. § 41102(c).

Flexport moved to dismiss the Complaint on the basis that the allegations were insufficient to state claims for violations of the Shipping Act. Essentially, Flexport argued that Giti failed to allege any facts which would put Flexport on notice as to the claims being asserted, including: (1) the identification of any shipment, bill of lading, invoice or charge in dispute; (2) which invoice requirements were missing from which invoices; and (3) any practice or procedure of Flexport which would constitute a violation of the Shipping Act.

In its Opposition, Giti does not address how the Complaint contains sufficient factual allegations. Rather, Giti argues, in essence, that ‘Flexport knows what the claims are, but if the Commission finds that the Complaint is deficient, Giti seeks leave to amend same.’

Giti fails to explain or identify any allegations contained in the Complaint to contradict Flexport’s assertion that a plausible claim has not been properly and sufficiently alleged. Flexport’s arguments need not be repeated here and Flexport submits the following, in brief, solely to address the specific and incorrect arguments raised by Giti in its Opposition.

## **II. DISCUSSION.**

### **A. Giti actually supports Flexport’s assertion that there are millions of dollars in unsupported charges.**

In the motion to dismiss, Flexport argued that it sought payment for over \$12.3 million in detention charges and that Giti had already admitted that over \$7 million was not disputed but Giti nevertheless withheld payment for same.

In its Opposition, Giti counters this argument by referring to the allegations of the Complaint which provide that “Giti’s audit of Flexport charges revealed that \$7,204,243 of Flexport’s accessorial charges constitute extraordinary and unreasonable charges in violation of the Shipping Act.” (Opposition at p. 3). Giti then goes on to argue that, since “Giti has paid Flexport in excess of \$20 million of its invoiced charges [this] fully refutes the assertion that Giti is withholding payment of uncontested amounts.” (Opposition at p. 3).

Giti’s argument thus in fact mandates dismissal of the Complaint for following reasons:

First, if Giti only disputes \$7.2 million of \$12.3 million of charges, then the conclusion must be made that approximately \$5 million is not disputed.<sup>1</sup>

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<sup>1</sup> Flexport maintains that Giti does not dispute over \$7 million of claims. However, for purposes of the motion to dismiss, Flexport merely highlights the fact that, based upon the allegations of the Complaint, Flexport has not been put on sufficient notice of the claims in dispute.

Second, the primary focus of the motion to dismiss was that there is no indication as to which invoices are in dispute. Now, Giti argues that only \$7.2 million of charges are disputed, but fails to identify which ones. Further, Giti admits to paying \$20 million of “undisputed” charges – yet there is no indication as to which of these invoices, if any, are included in the \$12.3 million claim.

In short, in its circular, confusing argument, Giti supports Flexport’s argument that the complaint should be dismissed. Indeed, Giti even acknowledges that its Complaint may need refining and asks the Commission for leave to amend.

**B. Giti’s argument that it need not comply with *Iqbal* and *Twombly* is untenable.**

Giti begins its argument section with the bold statement that the outdated and overruled “simplified federal notice pleading” nevertheless should apply to withstand a motion to dismiss. (Opposition at p. 5). In support, Giti cites to a 2002, case which was decided seven (7) years before *Iqbal* and *Twombly*. Giti then devotes its entire argument as to how Giti’s conclusory statements in its Complaint comply with the prior standard. Notwithstanding Giti’s reliance on inapplicable case law, Giti fails to address the underlying argument of the motion to dismiss – that the Complaint fails to identify any bill of lading, invoice or charge to put Flexport on notice of what is being disputed.

Giti then inexplicably relies upon the Commission’s decision in *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Limited*, FMC Docket No. 22-28 (January 4, 2023) as the support for its assertion that its “allegations again provide notice to Flexport of the basis for Giti’s claims in accordance with the liberal notice pleading standard and raise a plausible violation of the Shipping Act, which is sufficient at this stage of the proceeding.” (Opposition at p. 7).

However, Giti ignores the fact that the Commission relied expressly upon *Iqbal* and *Twombly* in its ruling in *Way Interglobal Network*. Further, while the Commission denied the motion to dismiss before it in that case, the Commission did so on the basis that the complainant therein specifically provided the factual bases for the claims “including specific information, **such as the container number, ETD, and rail dates, about each of the twenty shipments at issue.**” *Way Interglobal Network*, FMC Docket No. 22-28, entry 13 at p. 4) (emphasis added).

Here, that is precisely what Flexport is arguing is lacking in the Complaint. Again, Giti’s confusing argument just proves Flexport’s point.

**C. Giti does not dispute that it failed to allege a practice or procedure in violation of the Shipping Act.**

Giti presents a confusing argument in an attempt to challenge Flexport’s assertion that the Complaint fails to adequately allege that Flexport established practices and/or procedures with respect to detention and demurrage charges in violation of the Shipping Act.

Instead, Giti argues that it need not make such allegation because it is not a pleading requirement that such practices and procedures apply to multiple customers. (Opposition at p. 8). Incredibly, Giti then argues that Flexport’s practices apply to multiple shippers because there is another case pending before the Commission against Flexport. (Opposition at p. 8).

This inappropriate attempt to rehabilitate its Complaint ignores the fact that the Complaint does not allege at all that Flexport established such practices and procedures.

Further, Giti’s entire argument is that “[t]he case of *Whitam v. Chicago, R. I. & P. Ry. Co.*, 66 F. Supp. 1014 (N.D. Tex. 1946) does not support Flexport’s position.” (Opposition at p. 8).

Yet, Giti fails to appreciate that Flexport did not rely on *Whitam* in support of its motion to dismiss. Rather, Flexport only pointed out that the Commission relied upon *Whitam* – and numerous other cases – in its explanation as to purpose of the Interpretive Rule.

Giti deliberately ignores all of the other cases relied upon by the Commission – as well as the Commission’s own statements regarding the Interpretive Rule – as illustrated by Flexport in the motion to dismiss.

Again, Giti presents an irrational, half-hearted attempt to defend its bare-boned, conclusory allegations. Indeed, Giti seems to readily acknowledge that it could have, and should have, presented sufficient allegations, in compliance with *Iqbal* and *Twombly*, to withstand a motion to dismiss. Giti ends its Opposition with the following plea for alternative relief:

As detailed above, Giti submits that its Verified Complaint already contains sufficient allegations **under the federal liberal notice pleading standard** to proceed with the case, **with further details to be obtained during the discovery** process. However, in the alternative should the Commission determine that the Complaint requires more detail, Giti requests leave to amend its Complaint to include a more definite statement of its claims in accordance with 46 C.F.R. § 502.66.

(Opposition at p. 10).

Instead of amending its complaint to include additional facts in support of its claims, Giti relies upon an outdated pleading standard and inapplicable case law in a weak effort to contradict Flexport’s arguments – while deliberately ignoring most of those arguments. There is simply no reason why Giti would not want to include such facts – other than not wanting to present same in a sworn complaint.

### **III. CONCLUSION.**

Based on the foregoing, and as set forth in the Motion to Dismiss, Flexport respectfully requests that the Commission dismiss the Complaint.

Dated: July 8, 2024

Respectfully submitted,

**SPECTOR RUBIN, P.A.**

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**CERTIFICATE OF SERVICE**

I HEREBY CERTIFY that on July 8, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

**SPECTOR RUBIN, P.A.**

By: /s/ Robert Borak  
Robert M. Borak, Esq.